

**UNITED STATES OF AMERICA
FEDERAL ENERGY REGULATORY COMMISSION**

Interconnection of Large Loads to the Interstate Transmission System	)))	Docket No. RM26-4-000
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**COMMENTS OF THE
PUBLIC STAFF - NORTH CAROLINA UTILITIES COMMISSION**

The Public Staff - North Carolina Utilities Commission (“North Carolina Public Staff” or “Public Staff”), files its Comments in response to the Notice Inviting Comments issued by the Federal Energy Regulatory Commission (“FERC” or “Commission”) on October 27, 2025, inviting comments on the Department of Energy’s October 23, 2025 proposed Advanced Notice of Proposed Rulemaking for consideration and final action by the Commission (“ANOPR”).¹

The Public Staff requests that all communications related to this proceeding be addressed to the following:

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I. INTRODUCTION

The North Carolina Public Staff is an agency of the State of North Carolina responsible for representing the using and consuming public before the North Carolina Utilities Commission

¹ Notice Inviting Comments, *Interconnection of Large Loads to the Interstate Transmission System*, Docket No. RM26-4-000.

(NCUC) with respect to matters affecting the rates and service of public utilities.² As the statutory consumer advocate for the retail utility customers of North Carolina, the Public Staff applauds the goals of the ANOPR: to facilitate the provision of electric transmission service to large load customers in an efficient and cost-effective manner that supports grid reliability and adheres to cost-causation principles.

However, for the reasons stated below, the Public Staff urges the Commission to enter into regulation of transmission-connected load with great caution, if at all. As discussed below, it is doubtful that the Commission has authority to order the reforms outlined in the ANOPR, and if it does, its authority is quite narrow. Additionally, the scope and scale of the proposed reforms risk impeding, rather than facilitating, the goal of assisting large load customers in their quest of “speed to power.”

II. THE COMMISSION’S AUTHORITY

A. Jurisdiction

Interconnection of load into the transmission system might, in a technical sense, be within FERC’s jurisdiction; however, this is an area in which most, if not all, of the authority has been reserved to the states by Congress. Accordingly, asserting such jurisdiction should not be undertaken lightly, without sufficient time for thorough study and without exceedingly strong grounds. Even though section 201(a) of the Federal Power Act (“FPA”) grants FERC authority over the transmission of electricity in interstate commerce and the wholesale sale of energy, this authority is expressly limited: “such Federal regulation, however, to extend only to those matters which are not subject to regulation by the States.”³ Thus, federal authority to regulate interstate

² N.C. Gen. Stat. § 62-15.

³ 16 U.S.C. § 824(a).

transmission and wholesale sales of electricity does not convey or imply authority over related areas that are subject to regulation by the states, specifically energy generation and the terms, rates, and conditions of retail sales of electricity. As the Supreme Court has held, it is not a sufficient basis for federal jurisdiction merely for a rule to have a direct effect on wholesale electricity rates;⁴ in addition, a jurisdictionally sound federal rule may not regulate retail electric sales.⁵ The ANOPR recognizes these jurisdictional lines.⁶ In the matter of interconnecting load, that leaves such a narrow path for lawful action as to be of little practical use. A Commission rule prescribing the methods, timing, and transmission pricing for interconnecting load to the transmission system could not, at the end of the day, provide any right for that load to be actually served as a retail customer, a matter unquestionably reserved to the states alone.⁷

The primary impediment to the electric industry serving large loads is having sufficient reliable energy. Because federal jurisdiction does not extend to facilities used for the generation of electric energy,⁸ the rules envisioned by the ANOPR cannot reach the heart of the problem they wish to address. A transmission study of a load that cannot be served is of no value.

⁴ See *FERC v. Elec. Power Supply Ass'n*, 577 U.S. 260, 278-280 (2016).

⁵ *Id.* at 280.

⁶ ANOPR at P 15.

⁷ See *FERC v. Elec. Power Supply Ass'n*, 577 U.S. at 264; see also, *Tri-State Generation and Transmission Association*, 193 FERC ¶ 61,070 at P 45 (rejecting a large load tariff that required certain terms and conditions of service to an end-use customer thus impermissibly intruding on retail rate regulation).

⁸ FPA 201(b)(1), 16 U.S.C. § 824(b)(1).

B. No Showing of Unjust, Unreasonable, or Unduly Discriminatory Rates

The Commission may initiate complaints or rulemakings under FPA section 206 to remedy rates or practices that violate section 205 of the FPA by being unjust, unreasonable, or unduly discriminatory or preferential.⁹ However, to proceed under section 206, the Commission must have substantial record evidence that the existing rate is unjust and unreasonable and that the replacement tariff is just and reasonable.¹⁰ However, the ANOPR does not enumerate any such practices.

The ANOPR suggests that the Commission's landmark Order No. 888, issued pursuant to FPA sections 205 and 205, and which required transmission owners and operators to file tariffs providing open access to the transmission system, establishes the legal basis for applying similar open access rules to large load interconnections.¹¹ However, they are fundamentally different. In Order No. 888, the Commission found that open access rules were needed to remedy undue discrimination by monopoly-owned transmission providers that had the ability to block electricity from being sold in interstate commerce.¹² The Commission noted that the cost of the electricity being brought to market by new generating facilities was substantially lower than the embedded costs of the incumbent utilities' generation.¹³ In contrast, rather than having an incentive to

⁹ 16 U.S.C. § 824e.

¹⁰ In order to require changes to federal rates or tariffs, the Commission must have substantial record evidence that the existing rate is unjust and unreasonable and that the replacement tariff is just and reasonable. *See e.g., Building for the Future Through Electric Regional Transmission Planning and Cost Allocation and Generator Interconnection*, 179 FERC ¶ 61,028 (2022)(Danly, Cmm'r, dissenting) (“We are not the Good Ideas Commission.”)

¹¹ ANOPR at P 3.

¹² 61 FR 21540, *21541.

¹³ *Promoting Wholesale Competition Through Open Access Non-Discriminatory Transmission Services by Public Utilities; Recovery of Stranded Costs by Public Utilities and Transmitting*

discriminate against large load customers, the economic incentives for utilities favor interconnecting large loads. The ANOPR has not articulated how the proposed rules would result in lower electric rates.

In a similar vein, when the Commission issued uniform transmission interconnection procedures for generating facilities in Order No. 2003, which the ANOPR also cites as a legal basis for the proposed rules,¹⁴ it did so on a record of demonstrated inefficiencies that undermined the ability of independent power producers to compete in wholesale electric markets.¹⁵

Furthermore, at a time when resource adequacy is at risk and existing customers are struggling to pay their electric rates, the proposed rules risk creating a new class of customer that would receive unduly preferential treatment.

Many states are already actively engaged in serving the electrical needs of large load customers.¹⁶ The North Carolina Utilities Commission has proactively addressed the challenges,

Utilities, Order No. 888, 61 FR 21540, *21550 (May 10, 1996), *order on reh'g*, Order No. 888-A, 62 FR 12274 (Mar. 14, 1997), *order on reh'g*, Order No. 888-B, *order on reh'g*, Order No. 888-C, *aff'd in relevant part sub nom. Transmission Access Policy Study Group v. FERC*, 225 F.3d 667 (D.C. Cir. 2000), *aff'd sub nom. New York v. FERC*, 535 U.S. 1 (2002) (“Order No. 888”).

¹⁴ ANOPR at P 13.

¹⁵ See *Improvements to Generator Interconnection Procs. & Agreements*, Order No. 2023, 184 FERC ¶ 61,054 at PP 11-12, *order on reh'g*, 185 FERC ¶ 61,063 (2023), *order on reh'g*, Order No. 2023-A, 186 FERC ¶ 61,199, *errata notice*, 188 FERC ¶ 61,134 (2024).

¹⁶ See National Association of Regulatory Utility Commissioners, *Resolution Urging the Federal Energy Regulatory Commission to Preserve and Affirm State Retail Regulatory Jurisdiction in its Large Load Interconnection Proceeding* (Nov. 12, 2025)(NARUC Large Load Resolution), available at https://pubs.naruc.org/pub/2C526A94-D533-BE0A-336A-178A366C7A91?_gl=1*3lb1y*_ga*MTkzMTcwMDg1Ni4xNzYzMTUwMzMw*_ga_QLH1N3Q1NF*cze3NjM3NTQxMzgkbzEkZzEkdDE3NjM3NTQxNjAkajM4JGwwJGgw.

including conducting a technical conference on fairly and efficiently serving large load customers.¹⁷

III. COMMONSENSE REGULATION

If the Commission determines that it has jurisdiction and authority to issue rules governing transmission-connected load, the North Carolina Public Staff urges it to do so judiciously.

First, the Commission must ensure that any new rules do not reverse the hard-fought progress on generation interconnection. As noted, the primary and driving need for the bulk electric system reliability at this time is more generating resources. The ANOPR recommends that large load interconnections be studied with generation to the extent practicable.¹⁸ Even with reasonable study processes in place to minimize speculative projects entering the load queue, adding a new layer to the study process will inevitably cause restudies, delays, and inaccurate studies when projects inevitably either drop out of the queue or seek material changes to their load profiles. In its comments, Duke Energy Corporation has detailed some of the numerous complex details that would need to be addressed to ensure that the interconnection of large loads does not slow the interconnection of generation resources.¹⁹

The North Carolina Public Staff recommends that if the Commission promulgates a rule on large load interconnection, that it limit its applicability to loads in excess of 300 MW. This would reduce the number of load customers requiring study and limit the projects studied to those most likely to have significant impacts on the bulk electric system. Further, it would reduce

¹⁷ Comments of the North Carolina Utilities Commission, at 2-4, Docket No. RM25-4-000 (Nov. 20, 2025).

¹⁸ ANOPR at P 20.

¹⁹ Comments of Duke Energy Corporation, at 11-12, Docket No. RM25-4-000 (Nov. 20, 2025).

jurisdictional concerns, as loads at that level are highly unlikely to be connected to the distribution system.

Second, any final rule should place no constraints, express or implied, on the authority of states to set the terms and rates for retail customers over generation facilities, or over the siting of transmission. The ANOPR proposal to provide special accommodation to load that agrees to be curtailed is an example of a rule that quickly infringes on state jurisdiction. As the National Association of Regulatory Utility Commissioners noted in its recent resolution, it is important that the Commission avoid

limit[ing] States' ability to implement protective measures, such as large load tariffs and flexibility requirements, or likewise prevent States' from incentivizing large loads to invest in local communities, including through programs such as facilitating large loads to interconnect more rapidly while bringing direct economic benefits to the community in the form of funding virtual power plants, non-transmission alternatives or demand-side management programs...²⁰

As noted above, whether and on what terms and at what rates a retail customer can be served is a matter for state regulation.

Bundled retail rates that include transmission should be preserved. When the Commission issued Order No. 888, it took no action to require these rates to be unbundled, in part to avoid difficult jurisdictional issues.²¹ This system has worked well for years and allows the North Carolina Public Staff and the North Carolina Utilities Commission greater transparency into transmission costs. At a time when electric rates are rising, with transmission costs rising faster than overall rates, statutory consumer advocates need to retain this tool to ensure they can fully perform their obligation to review and audit monopoly utility costs.

²⁰ NARUC Large Load Resolution.

²¹ Order No. 888, 61 FR 21540, 215777-78.

Third, the North Carolina Public Staff fully agrees with the fourteenth principle of the ANOPR that all NERC reliability standards must be met. As the Commission is no doubt aware, NERC is nearing the end of the work plan for its Large Loads Task Force.²² NERC has published for comment preliminary draft guidelines on managing large loads, which includes provisions on interconnection process.²³ While NERC is assiduously studying reliability issues associated with serving large loads and preparing to issue guidelines, issuing final rules prior to those guidelines being finalized would be counterproductive.

IV. CONCLUSION

For the above reasons, the North Carolina Public Staff respectfully requests that the Commission take these comments into account in taking action on the ANOPR.

Respectfully submitted,

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²² Information about the NERC Large Loads Task Force is available on its webpage. <https://www.nerc.com/who-we-are/committees/reliability-and-security-technical-committee-rstc/subcommittees-working-groups-and-task-forces/large-loads-task-force-lltf>

²³ NERC, *Preliminary DRAFT Reliability Guideline: Risk Management for Emerging Large Loads*, available at https://www.nerc.com/globalassets/who-we-are/standing-committees/rstc/draft_reliabilityguideline_riskmitigationforemerginglargeloads.pdf